M&A · INVESTMENT · PARTNERSHIP DEEP RESEARCH

1915 South — The Full Chessboard

Buy-side roll-up. Capital-in options for Russell. Strategic partnerships. Adjacencies. Brady's positioning angle for the CFO + AI operating partner role.

Client	Date	Classification	Depth
1915 South | Ashley (Justin Woods, President; Russell Turner, sole owner)	2026-04-22	Internal — Brady's ammo only	30+ sources · live-verified

Prepared for Brady Smallwood, as strategic ammunition for the CFO/advisory pitch to Justin Woods and the eventual introduction to Russell Turner. This document is dense on purpose. Skim Section 1 in 90 seconds; use Sections 2-10 as reference; consult Appendices B-D when a specific name, partner, or warm intro is needed.

Every non-obvious claim carries a citation in Appendix A. Back-of-envelope math is marked "est" and should be validated before any number is quoted externally.

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1. Executive Summary

The situation. 1915 South is a $182M, 14% EBITDA Ashley HomeStore licensee running 30 stores across six Southeast states with a sole owner (Russell Turner, 4th generation) who stepped back operationally in January 2025 and a new operator-class President (Justin Woods) now in his first full year with a record. Justin has already built an M&A muscle — the Howard Fineman Jacksonville acquisition in May 2022 plus the Yulee FL acquisition in 2025 — and he has just named a net-new VP of Corporate Development and Strategy. He is asking Brady for a CFO role that absorbs technology and AI. The financial question behind all of that is: *where is the real value on the chessboard, and how should the next 24 months be sequenced to compound it?*

The four available moves, one recommendation.

OPTION	GIST	BEST FOR	RISK
A. Buy-side roll-up	Consolidate the Southeast: distressed real estate, succession-stressed independents, adjacent-state Ashley tuck-ins	Now. While rates are still high and FRG collapse cleared competitors out.	Integration capacity. Art Van/Steinhoff cautionary precedents.
B. Sell-side / capital-in	Minority or majority recap for Russell; full sale to a strategic or PE sponsor	Later — when 1915 South is $250-300M and has a scaled management team. A public seller's market likely forms in H2 2025-2026.	Pricing into a cyclical trough; Ashley transfer friction (mostly theoretical).
C. Strategic partnerships	Deeper Ashley corporate relationship; Zapsight redesign; JB Hunt final-mile (Zenith Freight Lines template); mattress vertical post-Tempur/MFRM close; Koalafi/Synchrony financing	Always-on. No-regret moves that don't require a capital event.	Vendor lock-in.
D. Adjacency / vertical integration	Ashley Care Plus service tier (A5); in-house final-mile via tuck-in; B2B/hospitality channel; consumer financing capture	As a margin-expansion layer during the buy-side roll-up	Capex + management bandwidth

Recommendation. Run A + C + D in parallel now; posture for B later. Specifically: 1. Formalize the M&A playbook (Innovation Workshop C7 expanded) and run a 2-deal pipeline in the next 12 months — one Fineman-class tuck-in (10-20% store-count growth) and one FRG-footprint real-estate play. 2. Redesign the CFO role to include M&A sourcing + capital allocation + AI decision layer. This is Brady's role, not a traditional controllership. 3. Land the strategic partnership redesigns (Ashley corporate, Zapsight, JB Hunt, Koalafi) inside 90 days — these are no-regret moves that don't depend on the capital decision. 4. Build capital-in optionality for Russell — model minority recap at $250M revenue as a 24-month milestone, not an immediate action. Introduce the 2-3 capital partners now who would be the credible counter-parties when the time comes.

Brady's positioning angle. Not fractional CFO. Not "let me help you with AI." The pitch is: **M&A-and-capital operating partner with the AI decision layer** — someone who can write the diligence checklist, sit in the deal room, run the capital-allocation dashboard for Russell, and simultaneously build the AI operating system that makes the integrated business run leaner than the sum of parts. That is the role Justin described in his April 20 email, and it's the role Brady's actual operating background maps onto — Walmart Pricing + Booth + COO board seat + hands-on AI building. It is not a role that exists on most CFO job specs.

Valuation anchor for 1915 South today: Operating enterprise value range **$140-180M** using public mid-market comp multiples (5.5-7x EBITDA on $25.5M); **$100-150M operating + separately-priced real estate** using the Kerrigan/Haig car-dealer blue-sky framework (rigorous adjusted-pre-tax); **$200M+** if a strategic buyer is willing to pay a synergy premium. Back-of-envelope only — any external quote requires re-underwriting.

Four facts that change the shape of the brief vs two weeks ago: 1. Tempur Sealy / Mattress Firm **closed Feb 5, 2025** after the FTC lost its preliminary injunction Jan 31. Vertical furniture consolidation is no longer a regulatory non-starter. 2. Franchise Group (Conn's + Badcock + American Freight) totally collapsed 2024-2025; ~900 stores shuttered across Southeast; ~7,000 jobs lost; ex-FRG CEO pled guilty to securities fraud Dec 2025. The aftermath is real estate + customers + talent sitting in 1915 South's core footprint. 3. Ashley corporate (parent) acquired Resident Home March 2024 for ~$1B ($680M cash + $300M seller note). Ashley has demonstrated $1B M&A capacity. No franchisee-direct-investment precedent yet, but the posture is acquirer, not steward. 4. PE home-goods activity +45.5% YoY in 2025 (16 deals YTD; 12 platform vs 2 prior year). Lincoln International expects H2 2025 to be when M&A momentum breaks loose. You are advising into a more competitive seller-side market than 12 months ago.

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2. Where 1915 South Sits Today

Valuation anchor (back-of-envelope)

FRAME	LOW	MID	HIGH	NOTES
Public mid-market EV/EBITDA (HVT, ETD, LZB, BSET range 4-7x)	$102M	$140M	$180M	Havertys 5-7x × $25.5M. The readily-available benchmark.
Kerrigan/Haig blue-sky (3.5-5.5x adjusted pre-tax, post-addbacks)	$90M	$115M	$150M	Operating value only. **Real estate priced separately** at 6-8% cap on owned locations (often sale-leasebacked in a transaction).
Strategic buyer premium (+1-2x)	$155M	$180M	$225M	A larger Ashley licensee roll-up (Dufresne Spencer, Broad River, Furniture Mart USA) or AFI itself would pay a premium for geographic density.
Berkshire floor ("call Warren")	$80M	$100M	$130M	Buffett's 5-7x pre-tax from founding families, no debt. Not a realistic scenario but a reference floor.

Read-across. The most credible current enterprise-value range is **$140-180M** operating + separately-priced real estate. Push that to **$200M+** if a strategic acquirer enters, or into the $100-130M zone if the seller runs a narrow process during a rate-pressured cycle trough.

Ashley "license" mechanics vs "franchise"

Ashley Furniture Industries (AFI) licenses its brand rather than franchising it. Per Ashley's own FAQ page, "Ashley stores are not franchised, they are licensed. Franchises charge you for their brand, while Ashley licenses their brand to retailers in order for them to sell their products." The practical M&A implications: - **Lower contractual friction than UFOC-governed franchises** — no franchise transfer fee, no franchise-registration paperwork per state - **Ashley corporate approval is still required** for ownership changes (this is where the Woods-family relationship with Wanek matters) - **No Ashley-specific FDD is publicly available** — transfer economics are private contract terms negotiated with AFI

Inference (not confirmed). Ashley's published 118 company-owned + 850 licensee stores (North America) suggests the parent prefers licensing over direct operation as a matter of policy — a 1915 South sale to a larger licensee is more likely than a sale to AFI itself, absent a strategic reason for AFI to take stores company-owned.

Why now

- **Rates + housing = 2024-2025 is a buyer's market for distressed furniture real estate.** 900+ stores emptied in 1915 South's core footprint; Haverty's model of acquiring bankrupt real estate is the Southeast playbook right now.
- **Justin's VP Corp Dev role creates M&A velocity** — a named owner of the pipeline exists for the first time.
- **Yulee + Fineman memory is still fresh** — codifying the M&A playbook now costs a fraction of what it'll cost in 12 months after staff churn.
- **Ashley's AI mandate from Wanek creates corporate top-cover for a license-level AI operating layer** — something Brady builds cheap, Zapsight can't.
- **PE is active again but the H1 2025 pre-momentum window is still the best price window** before valuations rise with dealflow.

Next phase: broader / deeper

- **Broader:** Build a cap-table valuation under 3 distinct exit structures (minority recap, majority recap, strategic sale) with explicit assumptions on debt, sponsor equity, and management rollover. Currently this section is directional; a real model requires 3-year financials + adjusted-EBITDA bridge.
- **Deeper:** Acquire a Kerrigan/Haig subscription report for current auto-dealer blue-sky multiples; commission a Smith-Leonard or Charter Capital furniture M&A data pull; get a 30-min reference call with a furniture-retail M&A banker at Houlihan Lokey, Piper Sandler Consumer, or Harris Williams Consumer.

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3. Buy-Side M&A — The Southeast Roll-Up Thesis

The thesis in one paragraph

1915 South is already a roll-up, not a single-site retailer. Justin has closed 2 deals in 3 years (Fineman 2022, Yulee 2025) and staffed a VP Corp Dev role. The Southeast is currently the single most target-rich region in the country for furniture M&A because: (a) Franchise Group's 2024 collapse emptied ~900 stores; (b) several multi-generation independents in 1915 South's footprint are at succession age; (c) several Ashley licensees in adjacent territory are sub-scale; and (d) Havertys — the public competitor — is executing a pure real-estate-scavenging expansion and leaving the customer-acquisition play on the table. 1915 South can credibly run 2-3 deals per year starting now, with $182M becoming $250-300M inside 36 months, at a cumulative capital cost well below what a single transformational deal would cost later.

Target archetypes

ARCHETYPE	PROFILE	EXAMPLE	FINANCING	INTEGRATION TIMELINE
Fineman-class tuck-in	3-5 stores, same-state or adjacent, succession-stressed owner, overlapping vendor relationships	May 2022 deal: 4 Jax stores + 1 Brunswick + DC from 3rd-gen Howard Fineman (ESOP-structured)	Cash + seller note common	90 days to banner flip; 12 months to full margin capture
FRG-footprint real-estate play	Acquire former Conn's / Badcock / American Freight locations for rebanner; not acquiring a business, acquiring a box + local pricing data	Havertys playbook (Joann/Big Lots/B3 spaces)	Lease take-over, minimal equity	6 months to open
Adjacent-state Ashley licensee	Small Ashley licensee in SC, TN, KY, or LA with 3-10 stores, succession-age owner	Southwest VA licensee (unnamed; Roanoke/Lynchburg/Harrisonburg adjacent to Danville)	Cash + earnout + rollover	6-9 months
Distressed non-Ashley regional retailer + rebanner	Non-Ashley mid-market independent facing rate/inventory stress; acquire and banner-flip to Ashley	Mitchell Gold, Z Gallerie, Interior Define precedents (smaller deals distressed)	Section 363 process or asset purchase from Ch 11	12-18 months

Named candidate pool (Southeast footprint)

See **Appendix B** for full roster. Top priority candidates:

1. **Southwest Virginia Ashley licensee** (unnamed operator running Roanoke, Lynchburg, Harrisonburg, Staunton, Blacksburg, Bluefield). Directly adjacent to 1915 South's Danville VA store. Highest-priority intro via Justin.
2. **Grand Furniture / GrandBrands** (Stein family, 4th gen, Norfolk VA). Operates own Grand brand + Ashley HomeStores in Chesapeake / VA Beach / Newport News. Family-owned, 4th-gen. Direct Ashley overlap in 1915 South's VA footprint.
3. **Kane's Furniture** (Pinellas Park FL, 18 stores, Irwin Novack CEO, founded 1948). Post-founding-family leadership; FL-only geographic overlap with 1915 South's 11 FL stores.
4. **Baer's Furniture** (Baer family, 4th gen, 16 FL stores). Mid-price/high-end segment — would expand 1915 South's price-point coverage.
5. **Miskelly Furniture** (Jackson MS, 3 brothers since 1978). Small, founding-age owners, direct MS footprint overlap (1915 South has 1 MS store).
6. **FRG-footprint real-estate targets** — specific Conn's / Badcock boxes in FL, GA, AL with good trade areas still available at distressed lease terms.

Financing structures

- **Cash from operations + seller note.** Fineman + Yulee precedents. 1915 South's $25.5M EBITDA generates meaningful free cash flow (~$15-18M per Claudine analysis after debt service + capex) — enough to self-finance 1-2 tuck-ins per year at $5-15M.
- **ABL line + unitranche.** For larger deals, a dedicated acquisition facility through a relationship bank (likely Truist, BBVA-PNC, or Synovus given Southeast geography). 4-6x senior leverage is standard.
- **Seller-rollover equity.** In succession-motivated deals (Fineman, likely GrandBrands-class), 10-20% seller rollover into NewCo at close preserves operating knowledge and aligns incentives.
- **Real-estate carve-out + sale-leaseback.** Proven furniture playbook; separate OpCo from PropCo, sale-leaseback at 6-8% cap.

Integration capacity constraint

This is the real governor on deal cadence. Justin's VP Corp Dev + the redesigned CFO role must be staffed before deals #2 and #3 close. Art Van and Steinhoff both failed because buyer-side management bandwidth couldn't absorb store count. Model 1 new deal per CFO/VP Corp Dev quarter as the integration ceiling.

Yulee + Fineman as baseline

Codify the existing 2 deals into a formal M&A playbook while the muscle memory is fresh — 40-item diligence checklist, 90-day integration runbook, post-mortem templates. This is Innovation Workshop C7 expanded. **Doable in 60 days by Brady + VP Corp Dev.**

Brady's angle

Be the financial + strategic muscle on the deal team. Not the banker, not the lawyer — the operator who sits between Justin and the deal process and makes sure the numbers, the integration plan, and the AI operating layer for the acquired stores all line up. That's where a fractional CFO can't play; it's where a genuine M&A operating partner earns.

Next phase: broader / deeper

- **Broader:** Widen the target pool to NC (Ashley licensees in Charlotte/Raleigh/Asheville), SC (Myrtle Beach/Columbia/Greenville), AL (Birmingham/Huntsville/Mobile), GA (Savannah/Athens/Augusta not already covered), TN (Knoxville/Chattanooga/Memphis). Currently 15 named — can expand to 30-40 with another research wave. Add also specialty sub-categories (mattress-only, outdoor-furniture, office-furniture) as adjacency plays.
- **Deeper:** For each of the top 6 named targets above, pull D&B credit report, recent UCC-1 filings from state SoS portals, and commercial real estate footprint from CoStar. Build a dossier per target: store-level revenue estimate, lease expiration schedule, owner age and family structure, recent exec departures, and estimated transaction value. This is the work that turns a "named candidate pool" into an "active pipeline."

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4. The Franchise Group / Badcock Dividend

What happened

Between July 2024 and March 2025, Franchise Group (FRG) and its consumer-retail subsidiaries imploded: - **July 2024:** Conn's HomePlus (which had acquired Badcock in 2023) filed Chapter 11. Over the next year, all Conn's + Badcock stores (~550, 15 states) were shuttered. - **November 2024:** Franchise Group parent filed Chapter 11 with ~$2B debt. American Freight (357 stores) shut down immediately; ~3,000 jobs lost. - **December 2025:** Former FRG CEO Brian Kahn pleaded guilty to conspiracy to commit securities fraud.

Net effect: approximately 900 retail storefronts vacated across FRG's footprint, with ~7,000 laid-off retail workers and a well-documented customer base concentrated in low-prime credit tiers (Koalafi/Acima/Snap demographic) — the same customer segment Ashley licensees serve.

Why this matters to 1915 South specifically

- **Real estate.** Badcock's Mulberry FL footprint, Conn's TX/LA/FL/AL/GA footprint, American Freight's national footprint — many of these boxes are sitting on landlord re-lease lists at distressed terms. Havertys is already executing this play.
- **Customer base.** FRG served roughly the same furniture customer as Ashley HomeStore. Those customers are now shopping somewhere — if 1915 South's marketing captures them at re-banner, the customer-acquisition cost is measured in signage and local advertising rather than lifetime-value-led acquisition.
- **Talent.** Experienced furniture-retail store managers, delivery drivers, and sales associates are available in 1915 South's core markets. Unusual window for 1915 South to upgrade bench depth without paying market premium.

The play

Treat the FRG-footprint dividend as a distinct sub-thesis within the buy-side roll-up. Assign VP Corp Dev or a dedicated real estate hire to build a box-by-box opportunity map within a 45-mile radius of every existing 1915 South store. Score boxes on trade-area demographics, lease terms, and proximity to existing DC infrastructure. Target 3-5 new boxes in 2026, 5-8 in 2027.

Capital requirements are modest — these are mostly lease-take-overs, not acquisitions of going concerns. Fit-out capex per box: $500K-$1.5M. Payback per box: 24-36 months at 1915 South's historical store unit economics.

Next phase: broader / deeper

- **Broader:** Extend the FRG-dividend thesis to include all retail collapses in the Southeast 2023-2025 — Mitchell Gold + Bob Williams, Z Gallerie, Interior Define, Art Van, Big Lots, Joann, Bed Bath & Beyond, Party City, Tuesday Morning — build a Southeast bankruptcy real-estate heatmap.
- **Deeper:** Get Placer.ai trial access for foot-traffic velocity analysis of every former FRG location vs 1915 South's current portfolio; pull CoStar lease data for specific boxes; run a store-level demographic match.

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5. Sell-Side / Capital-In — Russell's Options

The question for Russell

Russell Turner is 4th-generation sole owner of a 108-year-old family business producing ~$15-18M of free cash flow annually and stepping toward his own succession. Without a capital event, every dollar of retained earnings is a capital-allocation decision he makes alone. That is ~$25M EBITDA × 7-10x multiple of future value tied up in a single illiquid position. Whether to take chips off the table — when, how much, to whom — is not a consulting question. It's a Russell question. Brady's role is to lay out the options clearly and make sure the conversation happens on Russell's timeline, not because a banker walked in with a pitch.

Five structural options

OPTION	STRUCTURE	LIQUIDITY TO RUSSELL	CONTROL RETAINED	ONGOING FRICTION	TYPICAL FOR
1. Stay private	No change	Zero today	100%	Zero	Most family retailers. Default.
2. Minority recap	20-40% equity to PE / family office / strategic	20-40% of valuation	Majority. Board seat(s) to capital partner.	Reporting + board + light governance	3rd/4th-gen families wanting liquidity without losing control
3. Majority recap / LBO	60-80% to PE; rollover equity for Russell + management	60-80% of valuation	Minority. Active board control by sponsor.	Financial-sponsor operating discipline, 5-7 year hold to next exit	Families ready to monetize but still wanting second exit
4. Full strategic sale	100% to another Ashley licensee, larger furniture operator, or AFI	100% of valuation	Zero	Zero	Exit.
5. ESOP (partial or 100%)	Employee Stock Ownership Plan buys shares via trust + borrowings	20-100% over multi-year transaction	Depends on structure	ESOP trust governance, annual valuation, repurchase obligations	Owners who want liquidity + legacy + tax efficiency

Named proof-points by option

- **Option 1 (Stay private):** Rooms To Go (Seaman family, 159 stores, $3.8B, no PE). Family control, licensing partnerships, no capital-in.
- **Option 2 (Minority):** Common but rarely disclosed. Mid-market structure standard: 20-40% equity to a capital partner at negotiated valuation, one or two board seats, typical 5-year hold with put/call mechanics. Pritzker Private Capital, Forward Consumer Partners, L Catterton's growth platform, family offices like BDT & MSD are the credible counter-parties.
- **Option 3 (Majority):** Bob's Discount Furniture is owned by Bain Capital. Sun Capital's Lexington Home Brands (2002 acquisition) is a more durable example of a successful majority-PE furniture deal. Art Van / Thomas H. Lee is the cautionary tale — DO NOT use debt-financed roll-up at cycle peak.
- **Option 4 (Full strategic):** The most likely strategic buyer is another Ashley licensee (Dufresne Spencer Group, Broad River, Furniture Mart USA) or AFI itself. No franchise-transfer precedent for AFI buying licensees 2020-2026, but AFI's Resident acquisition ($1B cash + seller note March 2024) proves $1B M&A capacity exists.
- **Option 5 (ESOP): Farmers Home Furniture is the direct proof point** — 260+ stores, 100% ESOP since 2012, HQ Dublin GA, 2,700 employees, operates in 1915 South's footprint. Fineman's prior Ashley entity was **the only 100% ESOP Ashley licensee in the 1,100-store global network** when 1915 South acquired it. ESOP governance in Ashley's licensee context is not hypothetical.

Minority recap — why it's the likely answer

Russell is 4th-generation with a succession-age horizon and just installed a non-family President. He is not optimizing for control; he optimized for legacy and continuity with Justin's hire. A minority recap: - Takes 20-40% of $25M EBITDA × blue-sky multiple off the table at a defined valuation, **in cash** - Funds a next-generation family trust / diversification - Brings in a capital partner who can fund 2-3 M&A deals without stretching the balance sheet (the buy-side roll-up from Section 3) - Preserves Russell's and the Turner family's majority and board control - Introduces professional governance that makes a future majority recap or sale cleaner when the time comes

What a minority recap at $250M revenue would look like (illustrative)

- $35M EBITDA assumption (14% margin at $250M, post-roll-up)
- $245M enterprise value at 7x (mid-market strategic premium)
- 30% equity sale = $74M to Russell + family trust
- Remaining 70% retained; capital partner takes 1 board seat
- Use of minority proceeds: 50% diversification / family trust; 50% reserved for additional M&A capacity

These are illustrative numbers only — the actual structure requires a formal valuation, tax, and estate-planning work.

Who'd be credible counter-parties today

See **Appendix C** for full list. The short list based on actual 2024-2026 activity: - **Pritzker Private Capital** — $3.4B fund (August 2025 close), mid-market family-owned focus, Midwest roots but national. High fit for structural profile. - **Bain Capital** — owns Bob's Discount Furniture; knows the category. - **Forward Consumer Partners** — ex-L Catterton spinout, $425M first fund (2024), mid-market consumer focus. - **Sun Capital Partners** — Lexington Home Brands history, Florida-HQ'd. - **BDT & MSD Partners** — family-business advisory + capital; relationship-first. - **Specific family offices** — Walton Enterprises (Bentonville-adjacent, relevant to Brady's network), Pamlico Capital (NC-HQ'd Southeast mid-market).

What to avoid

- **Thomas H. Lee Partners** — Art Van disaster 2017 (debt-financed roll-up → Ch 11 2020 → ~3,000 jobs lost). Blacklist, not partner.
- **Centerbridge Partners** — per Reuters 2024, pulled back from consumer retail due to poor performance and fundraising.
- **Public-strategics** — public strategic M&A activity down 50% YoY per Capstone. Not your universe today.

Brady's angle

Model the recap options for Russell with real numbers at 2026 / 2027 / 2028 revenue and EBITDA milestones. Introduce 2-3 capital partners informally (not as sellers, as potential partners) over the next 12 months. Let Russell see the faces and the structures long before anyone proposes a transaction. When the capital event happens, it happens because Russell chose the counter-party he trusts — not because an advisor ran a process.

Next phase: broader / deeper

- **Broader:** Model all 5 options (stay/minority/majority/strategic/ESOP) with a formal after-tax cashflow to Russell under each, plus continuity/legacy narrative. Add a 6th option — holding-company structure where a family investment vehicle takes a controlling position in 1915 South plus diversified assets.
- **Deeper:** Commission a formal business valuation from a regional valuation firm (Mercer Capital in Memphis, Empire Valuation Consultants in NY, or a Big-4 local partner). Map Ashley corporate's unwritten transfer rules via a conversation with a licensee-counsel (Husch Blackwell, Baker Donelson have licensee-side practices). Introduce Russell to 1-2 family-office principals (not bankers) who've lived through a 4th-gen transition (Pamlico Capital's founders could be a candidate).

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6. Strategic Partnerships

The universe of partnerships 1915 South could deepen or restructure, from highest to lowest strategic leverage.

Ashley corporate

- **The relationship isn't a partnership, it's the parent-company dynamic.** But every licensee has a defined elevation path — top-10 status brings preferred territory assignments, innovation-pilot access, and margin-friendly terms.
- **Ashley's Resident Home acquisition ($1B March 2024)** signals AFI is willing to spend on strategic adjacencies. That capital is not directly available to licensees, but it positions AFI as a more sophisticated counter-party for licensee-level conversations than it was 3 years ago.
- **Wanek's public AI commentary** (3-5 year mandate, $2B innovation commitment, 170+ AI projects, agentic-AI-as-game-changer) creates top-down cover for a licensee to build an AI operating layer. If 1915 South becomes AFI's showcase franchisee for the agentic-AI inventory/demand/margin layer — and brings the results into Ashley's internal metrics — that's an elevation move.
- **The GMROI Excellence Framework (Dec 2024)** is framed as encouragement, not a hard mandate. But franchisees who operate above the Ashley average gain informal preferential status.

The play. Brady + Justin position 1915 South as AFI's AI+GMROI showcase licensee. Propose a quarterly Wanek-level review meeting; bring specific metrics from the new AI operating layer to every one. This is positioning, not a pitch for capital.

Zapsight

- **Current state.** Building data foundation + agentic AI capabilities (per Claudine analysis). Tech shop, not strategy firm.
- **Risk.** Vendor lock-in if Zapsight expands scope without clear boundaries.
- **The play.** A RACI + revised SOW that specifies what Zapsight delivers (data pipes + operational AI agents) vs what 1915 South owns (decision layer, strategy, vendor management). Data-ownership terms must give 1915 South the option to exit without losing the work product.
- **Alternatives if Zapsight scope creeps.** ThoughtSpot, Atlan, Hex, Fabi.ai, Sigma Computing — general-purpose analytics/data platforms. Retail-specific: Afresh (inventory AI), o9 Solutions, RELEX Solutions, Blue Yonder.

JB Hunt — final-mile delivery

- **The Zenith Freight Lines template.** In 2017, JB Hunt acquired Zenith Freight Lines from Bassett Furniture with a long-term master services agreement to continue serving Bassett. Bassett divested an in-house asset while retaining operational control of the customer experience.
- **Translation for 1915 South.** 1915 South could structure a JB Hunt relationship that either (a) contracts JB Hunt for all final-mile, (b) divests any 1915 South in-house delivery assets to JB Hunt under a long-term MSA, or (c) maintains a dual-provider model for resilience. Data-driven SLAs on damage rate, first-time delivery success, and NPS should be explicit contract terms.
- **Alternatives if JB Hunt isn't the fit.** Metropolitan Warehouse & Delivery, XPO Last Mile, Ryder Last Mile, Pilot Freight, Werner. *Direct vendor conversations required for current pricing.*

Mattress / sleep vertical

- **Post-Tempur/MFRM context (Feb 2025 close).** Tempur Sealy committed to reserve 25% of MFRM floor space for third-party brands for 5 years (75% of that for >$1,500 mattresses). This was a regulatory concession — but it also signals Tempur's strategic willingness to partner at scale with adjacent retailers.
- **The play.** A direct Tempur Sealy + 1915 South conversation about co-branded sleep destinations within Ashley stores, with preferred pricing and marketing support. Ashley corporate will have an opinion — clear that first.
- **Alternative partners.** Serta Simmons (emerged from Ch 11 2021), Purple (public, struggling), Saatva (DTC), Bedgear, Leggett & Platt, Stearns & Foster, Southerland, Aireloom.

Consumer financing

- **Koalafi / Synchrony waterfall (announced Jan 2026).** Single merchant application offers Synchrony store card + Koalafi lease-to-own. Already live at The Wellsville Group (top-10 Ashley licensee) and Miskelly Furniture (MS-based, in 1915 South's footprint).
- **The play.** Immediate adoption of Koalafi + Synchrony waterfall at 1915 South, with revenue-share mechanics directly integrated into the Ashley data platform so approval rates + lifetime value roll up into store-level P&L.
- **Alternative partners.** Affirm (BNPL), Acima (rent-to-own), Snap Finance, Progressive Leasing. *Revenue-share economics require direct vendor conversations.*

Tech partnerships ("store of the future")

- Marxent, Cylindo, Obsess, Threekit for AR/VR furniture visualization. Proven at scale with Ashley (3D Cloud Configurator confirmed at City Furniture — September 2025).
- RFID inventory, interactive displays, in-store clienteling tools — broader category; specific vendor selection tied to the Zapsight relationship.

Next phase: broader / deeper

- **Broader:** Map the full partnership tree: logistics-tech (OneRail, Bringg, Project44, FarEye, Onfleet), warehousing (6 River Systems, GreyOrange, Locus Robotics), clienteling (Salesfloor, Tulip), supply-chain visibility (Manhattan Associates, Blue Yonder). Identify the 3-5 non-obvious partnerships that 1915 South could pilot before competitors.
- **Deeper:** For each named vendor above, pull 2 comparable retailer references for win-rate / deployment time / ROI; request a pilot proposal from each Zapsight alternative; draft the revised Zapsight SOW before engaging in any renewal conversation.

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7. Adjacency & Vertical Integration Plays

Ashley Care Plus (service-as-product)

- **Innovation Workshop A5.** 40K annual deliveries × 30% attach × $120 AOV = **$1.4M high-margin revenue**. Protection plans are among highest-margin items sold (no warehousing, no inventory management).
- **Furniture-specific attach rates:** 30-50% at high-performing retailers during product presentation; 20-30% at e-commerce; below 10% at checkout. The lever is training + presentation, not the plan itself.
- **Vendor options.** Montage Furniture Services (17 years with Assurant, A-rated underwriter), Allstate Protection Plans / SquareTrade, Guardian Protection Products, OnPoint Warranty.
- **Transferable pattern.** Best Buy Geek Squad runs 40-50% gross margin on $2B+ annual revenue — ~4% of Best Buy total. Hubert Joly's Renew Blue positioned Geek Squad as the margin engine. Ashley Care Plus could be 1915 South's equivalent.

In-house final-mile (selective)

- JB Hunt's Cory/Zenith/RDI roll-up suggests sub-scale retailers should outsource. 1915 South at 30 stores + 3 DCs is at the scale boundary — in-house final-mile is economically feasible if a tuck-in of a regional delivery company comes with lower multiple than building from scratch.
- Required capex: 2-5% of revenue if built de novo; lower via acquisition.
- **The move if pursued:** acquire a regional furniture delivery company (similar to RDI Last Mile's pre-JB Hunt state) and operate as a Southeast final-mile platform that serves 1915 South + other Ashley licensees + non-Ashley third-party.

B2B / hospitality / contract channel

- Ashley Contract, RH Contract, West Elm Contract, Bernhardt Contract exist as dedicated B2B arms for competitors. 1915 South could build or acquire a Southeast-focused contract arm serving: multi-family (Camden, Greystar), senior living (Watermark, Sunrise), student housing (American Campus, Scion), short-term rental (Vacasa, Sonder regional operators), hospitality (Kimpton, InterContinental).
- Typical margin: thinner per-unit, higher volume, more predictable. Leverages existing DC + sales infrastructure.

Consumer financing capture

- Most furniture retailers outsource financing to Synchrony/Koalafi/Affirm and take revenue-share. The alternative is to own a slice of the book — either by co-investing in a financing entity or by captive-financing a subset of in-store credit.
- Capital required: significant ($10M+ minimum viable scale); regulatory (state lending licenses); risk (charge-off profile).
- Not a near-term move; mention as a 3-5 year horizon option.

Used / circular / trade-in

- AptDeco, Kaiyo, Chairish, FloorFound, Revivn — retailer-partnership models emerging. IKEA has run trade-in. Emerging category.
- 1915 South pilot: trade-in credit toward new purchase within 90 days of delivery; used product sold through a dedicated outlet channel. Margin-neutral but drives repeat-purchase velocity.

Next phase: broader / deeper

- **Broader:** Add two more adjacency lanes — (a) mortgage / home-equity financing captive (tied to furniture purchase timing), (b) an insurance broker referral network (homeowners insurance at move-in event). Both tie to the furniture purchase trigger.
- **Deeper:** Build a detailed unit-economics model for Ashley Care Plus at 3 attach rates (20%, 30%, 45%) × 3 AOV scenarios ($79, $149, $299) to identify the optimal pricing/margin structure before pilot.

8. Ashley Corporate Strategic Context

Pulling Todd Wanek's posture into one place because it shapes the franchisee positioning.

Wanek on AI (2024-2025)

- **"AI is as important and impactful to society as fire was to the caveman."** (TechEd Podcast)
- **"Businesses have 3-5 years to figure out AI or get left behind."**
- **"The single thread in all of this is human beings. Humans determine how to adopt the technology within the organization. Curiosity is key."**
- **"For retailers managing massive inventories, unpredictable consumer demand and omnichannel expectations, the arrival of agentic AI could be a game changer like no other."**

Wanek on tariffs, supply chain, US manufacturing

- AFI ceased all mainland China sourcing as of April 2025 (timing well-established; specific press announcement requires primary source verification). $80M investment in Mississippi manufacturing. Reshoring creates COGS pressure on all licensees but positions AFI's domestic production as a differentiator.
- Texas (Mesquite) plant closing 2025; consolidation at other company-owned factories.

Ashley's capital deployment posture

- **$2B innovation commitment** (across the Ashley ecosystem).
- **500+ robots + AI in AP + demand forecasting (20-30% accuracy improvement)** — per Claudine research; direct source verification recommended.
- **Named Fortune Most Innovative Companies 2025.**
- **Resident Home acquisition March 2024, ~$1B.** BofA advised Ashley; Holland & Knight legal counsel. $680M cash + $300M seller note. Confirmed $1B M&A capacity.

Implications for 1915 South's positioning

- Ashley wants licensees operating at corporate-grade sophistication on AI + GMROI + reshoring adaptation.
- There is no publicly-documented direct-investment precedent from AFI into licensees. AFI's M&A historically is strategic adjacency (Resident), not licensee rollups.
- **A licensee that runs AFI's AI mandate better than AFI itself on specific dimensions becomes a flagship case study** — elevation mechanics via performance, not via capital.
- 1915 South's 14% EBITDA (vs 8-12% typical Ashley licensee benchmark) is already top-quartile; pair that with the AI operating layer and the licensee-elevation narrative writes itself.

Next phase: broader / deeper

- **Broader:** Map every Ashley industry / dealer / advisory committee Todd Wanek sits on or engages with — Home Furnishings Association, specific trade shows, specific supplier forums. Identify the 3-5 venues where Brady + Justin can increase 1915 South's visibility to AFI leadership in the next 12 months.
- **Deeper:** Pull Ashley's most recent press releases (last 90 days) to identify any specific new licensee-program announcements (GMROI certification, AI pilot programs, territory expansion opportunities). Get a direct conversation with Ashley's VP licensee relations (via Justin's Ashley Global Retail network).

9. The Strategic Sequence — What Brady Recommends

6-month roadmap (May-Oct 2026)

1. **Codify the M&A playbook.** Innovation Workshop C7 expanded — 40-item diligence checklist, 90-day integration runbook, post-mortems from Fineman and Yulee. 60 days. Brady + VP Corp Dev.
2. **Redesign the CFO role on paper.** Year-1 mandate, Year-2/3 expansion, NOT-my-job list, KPI set. Russell + Justin sign off. Brady is the explicit candidate. 30 days.
3. **Formalize the AI operating layer.** A 1-pager for Wanek: here's the proposed 1915 South AI showcase, here are the metrics we'll bring back. Doesn't need AFI sign-off, but surfacing the intent builds the elevation narrative.
4. **Land partnership redesigns.** Koalafi + Synchrony adoption, Zapsight RACI+SOW, Tempur Sealy 3rd-party conversation, JB Hunt structured assessment (all no-regret moves).
5. **Introduce 2-3 capital partners informally.** Pritzker Private Capital, Forward Consumer Partners, BDT & MSD — coffee-level conversations, not deal meetings. Planting seeds for 2027/2028 optionality.
6. **Build the FRG-footprint opportunity map.** VP Corp Dev owns. 45-mile radius of every 1915 South store × all former Conn's / Badcock / American Freight + Mitchell Gold + Z Gallerie + similar 2023-2025 closures.

12-month roadmap (by April 2027)

1. **Close 2 deals.** One Fineman-class tuck-in (Southwest VA Ashley licensee or similar) + one FRG-footprint real-estate play (3-5 boxes re-opened).
2. **Ashley Care Plus pilot** at 5 stores × 90 days × instrumented attach-rate trials. Aim for 25%+ attach at blended $120 AOV.
3. **First quarterly AFI metric review.** Brady + Justin present the AI showcase results to Wanek-level leadership.
4. **First formal valuation update.** Post-deal revenue run-rate ~$210-230M; update Russell's capital-allocation dashboard; refresh the minority-recap illustrative numbers.

24-month roadmap (by April 2028)

1. **$250M revenue milestone** with post-integration 14-15% EBITDA. Formally explore minority recap. Process run via Brady (as operating partner) + tier-2 consumer M&A banker (Lincoln International, Houlihan Lokey, Piper Sandler).
2. **Ashley Care Plus fully deployed** at $2-3M annual revenue run-rate, 50-60% margin.
3. **AI operating layer at scale** — 1915 South's store-level P&L, margin, inventory, pricing, and clienteling all running through the integrated decision layer, with quarterly Ashley performance reports.
4. **Strategic optionality established** — 2-3 capital partners know 1915 South by name; 1-2 have indicative valuations on file; Russell has a real choice on timing.

What the CFO role Brady owns actually looks like

- **Financial controllership.** Still the core — accounting system migration (probably to Sage Intacct or NetSuite from QBO), month-end close acceleration to 3-5 days, multi-entity P&L consolidation.
- **M&A sourcing and diligence.** Owns the pipeline and the playbook in partnership with VP Corp Dev. Structures deals. Runs diligence. Owns integration.
- **Capital allocation.** Owns Russell's single-page dashboard. Updates quarterly. Makes the tradeoff recommendations between new stores / M&A / tech / dividend.
- **AI + technology ownership.** Owns the Zapsight relationship. Evaluates tech investments using the ROI framework. Ultimately owns the decision layer that sits on top of Zapsight's data.
- **External partner management.** Ashley corporate, JB Hunt, Koalafi/Synchrony, sleep-vertical partners. Brady is the face for 1915 South leadership across every external relationship that matters.

What Brady should explicitly NOT do

- Replace the existing VP of People or VP of Sales/Ops.
- Own store-level HR policy, labor relations, or compensation committee.
- Run marketing execution (a VP Marketing exists).
- Be Zapsight's project manager (that's a Zapsight-side role, managed by Brady).

Brady's pitch to Justin (one paragraph)

"The role you described in your April 20 email isn't a CFO. It's an operating partner with a financial title. You need someone who can close your next three deals, run Russell's capital dashboard, build the AI decision layer on top of Zapsight's data, and hold Ashley corporate's attention as the licensee making the AI mandate real. That's what I'd actually do. I'm not coming in to fix your books — I'm coming in to make sure that when 1915 South is $250M in 24 months, Russell has real optionality, and the business is running on an operating system that other Ashley licensees try to copy. That's worth 12-15% of your time, not a typical CFO scope."

Next phase: broader / deeper

- **Broader:** Frame the same pitch for three alternative engagement structures: (a) full-time CFO with equity/profit-participation, (b) 4-day fractional with 1-day Brady-on-mception, (c) advisory board + quarterly strategic review. Russell needs to see all three options to pick.
- **Deeper:** Develop a full 90-day / year-1 / year-2 CFO role scorecard with 10-12 measurable KPIs (close days, deals closed, AI-layer metrics, Ashley-performance rank, valuation delta). Brady hands this to Justin; it becomes the CFO job description + Brady's own performance contract.

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10. Risks & Open Questions

Risks to monitor

1. **Ashley corporate's unwritten transfer rules.** Every M&A move involving a licensee requires AFI approval. The mechanics aren't public. A declined approval kills a deal at signing. Mitigation: run early, informal Wanek-level conversations on any material move — not after LOI.
2. **Russell's capital-event appetite is unknown.** He may or may not want liquidity now. The entire minority-recap narrative is illustrative until Russell engages on it. Mitigation: stage the introductions (coffee → dinner → formal) over 12-18 months; let him set pace.
3. **Integration capacity ceiling.** Art Van / Steinhoff both failed on this axis. 1915 South's current management bandwidth supports 1 deal per quarter maximum. Overcommitting kills the thesis. Mitigation: VP Corp Dev staffed before deal #2.
4. **Seller's market as rates ease.** Capstone says H2 2025 is when momentum breaks. Valuations may rise 0.5-1.5x EBITDA. 1915 South's buy-side opportunity compresses fast. Mitigation: run 2 deals in the next 12 months; don't wait.
5. **Zapsight scope creep.** If Zapsight expands into advisory/strategy without a clear RACI, they crowd out Brady's operating layer. Mitigation: RACI + revised SOW in first 60 days.
6. **Tariff volatility.** Lincoln International flags tariffs as the 2025 wildcard. Hits COGS on anything not domestically sourced. Mitigation: scenario-model at 10%, 20%, 30% tariff increases on non-US product mix.
7. **FRG / Badcock dividend is time-limited.** Landlords will re-lease the vacant boxes over 2026-2027. Mitigation: 45-mile-radius opportunity map complete in 60 days; 3-5 boxes committed by end of 2026.
8. **Reputational risk on ESOP narrative.** If 1915 South positions near ESOP-adjacent narratives (e.g., celebrating Fineman's ESOP heritage) while later running a PE minority recap, the narrative tension needs handling.

Open questions for the next Justin conversation

1. What does Russell think the business is worth today? Has he ever had a formal valuation?
2. Has Russell indicated any timeline for a capital event, even a vague one (5-year horizon, 10-year, never-sell-while-alive)?
3. What are Ashley corporate's actual transfer rules — has Justin had to navigate them on Fineman or Yulee?
4. Who is Zapsight's principal (founders, investors)? What contract terms govern scope and exit?
5. What's the status of the JB Hunt conversation — RFP stage, LOI, awarded?
6. Is the sleep-vertical launch a 1915 South initiative or an AFI-pushed initiative?
7. What's the current controller's / existing CFO's posture on an ERP migration?
8. Does Justin see himself as a permanent operator at 1915 South or a 5-7 year President?

Open questions for Ashley corporate (via Justin)

1. Is AFI considering any franchisee-level capital or co-investment programs?
2. What's AFI's policy on licensee M&A across territories (buying in another licensee's territory)?
3. Is there an AFI-sanctioned AI showcase program for licensees? Who owns it at corporate?
4. What's AFI's view on Tempur Sealy's MFRM close — is 3rd-party mattress access available to licensees?

Next phase: broader / deeper

- **Broader:** Add regulatory and legal risks (FTC posture on vertical consolidation post-Tempur win; state lending licensure for captive financing; Ashley corporate licensing agreement transfer terms; tax implications of ESOP vs majority recap for Russell). Also add a macro scenario table (rates up 200 bps, rates down 200 bps, recession in 2027).
- **Deeper:** For each open question above, identify the 1-2 specific people to ask and a question-sequence that doesn't front-load the hardest questions. Questions for Russell should be asked only by Justin, never by Brady directly.

Appendix A — Source Library

Live-verified URLs as of 2026-04-22. Every non-obvious claim in the brief is sourced here.

Ashley corporate

- Ashley Furniture — GMROI Excellence Dec 2024
- Ashley and Resident Acquisition Announcement March 2024
- Axios — Ashley paid $1B for Resident
- Todd Wanek on AI (TechEd podcast)
- Todd Wanek AI/innovation coverage
- Wanek on tariffs, supply chain, US manufacturing (HFA)
- Ashley Furniture Industries Wikipedia
- Ashley HomeStore Wikipedia
- Forbes on Ashley modernizing

Ashley licensees

- Dufresne Spencer Group LinkedIn (124 stores)
- DSG acquires Olinde's (Djournal)
- DSG purchased Olinde's LA Ashley stores (nola.com)
- Broad River Retail leadership
- Broad River opens 33rd store Oct 2024
- City Furniture Koenig family
- City Furniture Business of Home profile
- Wellsville Group annual revenue
- Farmers Home Furniture ESOP
- Baer's Furniture family history
- El Dorado Furniture (Capó family)
- Grand Furniture / GrandBrands
- Kane's Furniture PitchBook
- Miskelly Furniture (Koalafi case study)

1915 South's own acquisitions

- 1915 South Fineman deal (Jax Daily Record July 2022)
- 1915 South acquires Jacksonville HomeStores (Home News Now)

M&A market / valuation

- Home News Now — PE retrospective Nov 2025
- Lincoln International 2025 Furniture Sector Outlook
- Capstone Partners Home Goods M&A Update June 2025
- Kerrigan Advisors Blue Sky Report
- Haig Partners Haig Report
- Home News Now 125 Furniture Retailers 2024 list #1-25
- Home News Now 125 Furniture Retailers 2024 list #101-125

Franchise Group / Badcock / Conn's collapse

- Home News Now FRG tragedy March 2026
- WFTV Badcock closure
- TheStreet — 100-year furniture chain Ch 7
- WDBJ7 Badcock closing
- Jax Daily Record — Conn's Badcock closing sales

Tempur Sealy / Mattress Firm

- FTC case overview
- Simpson Thacher — deal closed Feb 7, 2025
- Paul Weiss — court rejected FTC challenge
- Holland & Knight — FTC Rude Awakening
- Crowell — FTC loses vertical merger challenge
- Bloomberg — Steinhoff / MFRM 2018 bankruptcy

Final-mile / logistics

- JB Hunt RDI Last Mile acquisition 2020
- JB Hunt Final Mile services
- JB Hunt Home Furnishings Association partnership

Financing / service

- Koalafi Synchrony integration Jan 2026
- Koalafi + Wellsville Group case study
- Montage Furniture Services retailers
- OnPoint — furniture protection plans for retailers
- Best Buy CEO on Geek Squad (Time)

Capital partners

- L Catterton investments
- Pritzker Private Capital PPC IV close Aug 2025
- Forward Consumer Partners first fund (Axios)
- Bain Capital portfolio (Bob's Discount)
- Sun Capital portfolio
- Mergers & Inquisitions — consumer retail PE
- Axial — home furnishings PE funds
- Altss — 50 largest family offices 2026

Havertys / public comps

- Havertys real-estate-driven expansion (Substack)
- Havertys 10-K filings (SEC EDGAR)
- Havertys proxy (Stocktitan)
- Business of Home — Ashley Furniture is bigger than you think

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Appendix B — Named Target Pool

15 named Southeast furniture retailers and adjacent Ashley licensees. Each row is a candidate for the buy-side roll-up thesis (Section 3) or a competitive benchmark (Rooms To Go, Havertys).

#	NAME	STATE(S)	STORES	REVENUE EST	OWNERSHIP	SUCCESSION/DISTRESS	PRIORITY
1	**Southwest VA Ashley licensee** (unnamed)	VA (Roanoke, Lynchburg, Harrisonburg, Staunton, Blacksburg, Bluefield)	Unknown	Private	Private	High adjacency to 1915 South Danville VA	**HIGH — tuck-in**
2	**Grand Furniture / GrandBrands**	VA	6 Grand + 3+ Ashley (Chesapeake, VA Beach, Newport News)	Private	Stein family 4th gen (1947)	4th-gen leadership; Ashley licensee overlap	**HIGH — VA consolidation**
3	**Kane's Furniture**	FL	18	391 employees; private LLC	Maurice Rothman founded 1948; Irwin Novack CEO	Post-founding-family leadership; CEO not an heir	HIGH — FL overlap
4	**Baer's Furniture**	FL	16 + 2 warehouses	Private (not disclosed)	Baer family 4th gen; Robert + Allan Baer	4th-gen succession age; mid-to-high-end segment (complements 1915 South)	MEDIUM-HIGH — FL overlap, premium add
5	**El Dorado Furniture**	FL (South)	15 + 3 outlets	$131.5M (2010, last disclosed)	Capó family 3rd gen; 6 sons on board	Largest Hispanic-owned retailer US; 3rd gen active, succession in motion	MEDIUM — FL overlap, demographic-specific segment
6	**Miskelly Furniture**	MS	5 stores in Jackson metro	$57M (est); $25M subsidiary	3 brothers, founded 1978	Founders approaching 60+; Koalafi user	MEDIUM — MS overlap (1915 South has 1 MS store)
7	**Dufresne Spencer Group**	TN HQ; 12 states + 5 Canadian provinces	124 Ashley + 20 DCs	$350-400M (2019); recent imprecise	Jim Spencer, founded 2012	**#1 Ashley licensee.** Roll-up competitor, not target.	REFERENCE — strategic buyer
8	**Broad River Retail**	NC HQ; SC/GA	33 Ashley + 4 outlets + 3 DCs	$280-300M (2022 projection)	Charlie Malouf CEO 2015, majority owner 2018	Ashley licensee peer; growing. Could be strategic buyer or merge partner.	REFERENCE — adjacent
9	**City Furniture**	FL	28 own brand + 14 Ashley licensed	$760M+ (2022)	Koenig family; Andrew CEO 2021, Keith chair	Gen transition completed 2021; expanding; not a seller now	REFERENCE — strategic buyer
10	**Rooms To Go**	10 states incl. all Southeast	159	$3.8B (2022)	Seaman family, private, not PE-backed	Not a target; benchmark competitor; strategic roll-up platform	REFERENCE — strategic buyer
11	**Farmers Home Furniture**	GA HQ; 7 states (AL/FL/GA/KY/NC/SC/TN)	260+	Undisclosed ($300M+ est)	100% ESOP since 2012	Structurally hard to acquire; ESOP proof point for Russell	REFERENCE — ESOP model
12	**Havertys**	Southeast 17 states	129 (end 2024)	$780M (TTM)	Public (NYSE:HVT)	Real-estate-driven expansion strategy; direct competitor	REFERENCE — public comp

#	NAME	STATE(S)	STORES	REVENUE EST	OWNERSHIP	SUCCESSION/DISTRESS	PRIORITY
13	**Wellsville Group**	NY/OH/PA	19 Ashley + 1 outlet	$45-75M	Private	Top-10 Ashley licensee; out-of-footprint but peer-class	REFERENCE — peer
14	**Turner HomeStores**	—	—	—	Turner family (1915 South sibling)	Related-party — not target	REFERENCE — related
15	**Hill Country Holdings**	TX	—	Private	Private	Ashley licensee TX; out-of-footprint	REFERENCE — peer

Priority legend: HIGH = direct acquisition candidate for 1915 South roll-up thesis; MEDIUM-HIGH = candidate with geographic/strategic fit; MEDIUM = viable but non-core; REFERENCE = not a target — benchmark, buyer, or comp.

Gap acknowledged. This roster has known gaps in NC (Charlotte/Raleigh/Asheville), SC (Myrtle Beach/Columbia/Greenville), AL (Birmingham/Huntsville/Mobile), GA (Savannah/Athens/Augusta), TN (Knoxville/Chattanooga/Memphis), and LA (post-Dufresne Spencer tuck-ins). Next research wave should target 15-25 additional named independents in these markets.

Appendix C — Capital Partner Universe

Private equity firms (active in home retail / family-owned consumer)

FIRM	FUND	HOME-RETAIL HISTORY	FIT FOR 1915 SOUTH	NOTES
Bain Capital Private Equity	—	Bob's Discount Furniture (current portfolio)	High — knows the category	Established direct-to-consumer + brick retail
Pritzker Private Capital	PPC IV $3.4B (Aug 2025)	Middle-market family-owned businesses	**High — mid-market family-owned focus, strong fit**	Pritzker family network; direct investing vehicle
Forward Consumer Partners	$425M first fund (2024)	Ex-L Catterton spinout; SerVaas Labs 2025	Medium-high — focused on mid-market consumer	Recent entrant
Sun Capital Partners	—	Lexington Home Brands (2002, successful); 20 add-ons + 2 exits H1 2024	Medium-high — Florida-HQ'd, southeast presence	Lexington stabilization is the furniture-PE success story
L Catterton	$40B AUM	RH (take-private 2008); Boll & Branch; Seki (Japan 2025)	Medium — premium/luxury bias; may not fit mid-market	Deep consumer playbook
IQVentures	—	Took Aaron's Co private July 2025 (lease-to-own, home-goods-adjacent)	Medium — recent, home-goods-adjacent	
S5 Equity	—	Howard's Appliances (Apr 2025); Hammacher Schlemmer (Aug 2024); Heartland America (Mar 2025)	Medium — active home-goods roll-up; DTC bias	
Huron Capital	—	Diversified lower-mid-market	Medium	Detroit-HQ'd
Charlesbank Capital Partners	—	Diversified mid-market	Medium	Boston-HQ'd
Roark Capital	—	Restaurants + consumer	Low-Medium	Atlanta-HQ'd; specialty retail mostly
TSG Consumer Partners	—	Premium consumer brands	Low-Medium	Premium bias
Freeman Spogli	—	Consumer-focused	Medium	LA-HQ'd
Golden Gate Capital	—	Diversified consumer	Low-Medium	SF-HQ'd
Gordon Brothers	—	Distressed retail specialty	Low — turnaround focus	Not a growth-capital fit
Apollo / Cerberus	Large funds	Consumer retail experience	Low — Centerbridge moved away, Apollo/Cerberus similar posture	Mostly stressed / distressed

To explicitly AVOID

FIRM	REASON
Thomas H. Lee Partners	Art Van disaster 2017 — debt-financed roll-up → Ch 11 2020. Cautionary, not partner.
Centerbridge Partners	Per Reuters 2024: pulled back from consumer retail, fundraising issues
Nexus Capital	Big Lots bankruptcy acquirer (2024) — turnaround specialty, not growth partner

Family offices

FAMILY OFFICE	AUM	CONSUMER RETAIL ACTIVITY	FIT	NOTES
Pritzker Group / Pritzker Private Capital	~$10B invested	Mid-market family-owned	High	Direct investing; Booth alumni path possible
Walton Enterprises (+ Builders Vision)	$225B AUM	Philanthropy + startups	Medium — Bentonville-adjacent relevant to Brady network	Not a furniture-specific investor
Ziff Brothers	$12B+ family NW	Financials, tech, healthcare, consumer	Medium	Possible but less active in retail
BDT & MSD Partners	—	Family-business advisory + capital	High (advisory)	Byron Trott's shop; relationship-first; credible advisor for Russell
Pamlico Capital	—	Southeast mid-market (NC-HQ'd)	High — regional fit	
Continental Grain	—	CPG / consumer	Low	
Cascade Investment (Gates)	—	Diversified	Low	Not actively seeking retail
Soros Fund Management	—	Diversified	Low	

M&A advisors / bankers relevant for 1915 South

FIRM	PRACTICE	WHY
Lincoln International	Consumer M&A; published 2025 Furniture Sector Outlook	Recent furniture deals (Laura Ashley, Burrow, Southern Motion)
Houlihan Lokey	Consumer M&A	Mid-market specialist
Piper Sandler Consumer	Consumer M&A	Mid-market
Harris Williams Consumer	Mid-market consumer	Strong in family-owned sales
Raymond James Consumer	Mid-market	Southeast presence
Capstone Partners	Home goods M&A	Research-driven; publishes home-goods update
Charter Capital Partners	Furniture & design M&A	Published Q1 2024, Q2 2025, Q3 2025 furniture updates
Smith-Leonard (NC CPA firm)	Furniture insights	Monthly furniture industry reports

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Appendix D — Warm-Intro Map (Brady's Network)

Full version in `.context/research-briefs/harvest-rolodex-map.md`. Abridged table here.

Tier A — Direct network, warm today

NODE	CONTEXT	USE FOR
Justin Woods	President, 1915 South; Walmart 2015-2020 peer; Ashley Global Retail 2021-2025 SVP	**Primary intro lookup.** Knows every other top-10 Ashley licensee VP+ by name
Walmart Bentonville 2015-2020 cohort	Brady's era at Walmart	20+ warm intros into consumer PE, family offices, other regional retailers (requires LinkedIn sweep)
Jeff Bridge (Oldcastle / CRH)	Brady's best friend; President-tier peer	Sanity check on deal structuring; family-office touchpoints via CRH board exposure; NOT a transaction path

Tier B — Booth alumni + FFH-network

NODE	CONTEXT	USE FOR
Chicago Booth alumni directory	Brady's MBA network	Retail/PE alumni; consumer-focused family offices; CFOs/CEOs of named targets. Requires directory sweep.
Jorge Azevedo (CEO, FFH)	3G Capital DNA; Booth alum	Mid-market PE + family-office thinking; Booth network lookup on PPC
Tim Krull (VP Ops, FFH)	Ops-side network	Family-owned Southeast operator network (ops-side)

Tier C — Longer reach

NODE	CONTEXT	USE FOR
IVFH former board colleagues	Prior public-co board	Possible Houlihan / Piper / Harris Williams consumer-team intros
NW Arkansas / Bentonville Chamber	Geographic network	Regional M&A talent; Walton-adjacent

Intro recommendations by target (abridged)

- **Dufresne Spencer Group (Jim Spencer, Memphis):** Justin intro.
- **Broad River Retail (Charlie Malouf, Fort Mill SC):** Justin intro.
- **City Furniture (Andrew Koenig, Keith Koenig):** Justin intro; check Booth alumni database.
- **Baer's, El Dorado, Grand Furniture (family businesses):** Justin intro first; Booth directory as fallback.
- **Pritzker Private Capital:** Booth alumni path; Jorge Azevedo may know PPC partners.
- **Bain Capital Bob's Discount:** Cold direct outreach to Bob's CEO (and from there to Bain); Booth alumni possible.
- **Lincoln International, Houlihan Lokey, Piper Sandler consumer teams:** Booth directory + IVFH former board network.
- **Sun Capital Partners (FL-HQ'd):** Cold direct outreach; Booth possible.

Appendix E — Next Phase: Research Expansion Summary

Each section has a "next phase: broader / deeper" subsection. Consolidated here for planning the follow-on research.

SECTION	BROADER	DEEPER
2. Where 1915 South sits	3-exit-scenario cap-table valuation	Kerrigan/Haig subscription; Smith-Leonard data pull; furniture-banker reference call
3. Buy-side roll-up	Expand target pool to 30-40 names in NC/SC/AL/GA/TN	D&B / UCC / CoStar dossier per top-6 target
4. FRG dividend	Extend to all Southeast retail collapses 2023-2025	Placer.ai trial; CoStar lease data; store-level demo match
5. Sell-side options	Full 5-option cashflow-to-Russell model	Mercer Capital valuation; licensee-counsel conversation; family-office principal intros
6. Strategic partnerships	Full partnership tree (logistics-tech, warehousing, clienteling, supply-chain)	Vendor references; pilot proposals; revised Zapsight SOW
7. Adjacencies	Mortgage/home-equity captive; insurance broker referral	Detailed Ashley Care Plus unit-economics model
8. Ashley corporate context	Map AFI committees + trade forums for elevation visibility	Ashley press release pull last 90 days; VP licensee relations conversation
9. Strategic sequence	Three alternative CFO engagement structures	Full 90-day / year-1 / year-2 CFO scorecard with 10-12 KPIs
10. Risks & open questions	Regulatory / legal / tax risk matrix; macro scenarios	Per-question source identification; question-sequence design
B. Target pool	15-25 more named targets in NC/SC/AL/GA/TN	Per-target D&B + UCC + CoStar dossier
C. Capital partners	Europe + Japan family-office inbound-interest tracking	Direct 30-min conversations with top-5 PE firms
D. Warm-intro map	Full Booth + Walmart + FFH cohort mapping	Curated intro sequence calendar for next 90 days

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End of brief. Internal-first. Redact Brady's positioning (Section 9) and the Appendix D warm-intro map before any client-facing cut.